

AN INTRODUCTION TO MANAGEMENT



*The Principles of Management
for the First-Year Student*

AN INTRODUCTION TO MANAGEMENT



*The principles of planning, organizing, leading and controlling,
explained from first principles for readers new to business*

First edition. Set in Libre Caslon Text and IM Fell English.
Illustrative cases are invented and are not real firms.

CONTENTS

I.	WHAT MANAGEMENT IS	5
II.	THE GROWTH OF MANAGEMENT THOUGHT	10
III.	THE ENVIRONMENT AND SOCIAL RESPONSIBILITY	15
IV.	PLANNING	19
V.	OBJECTIVES AND MANAGEMENT BY OBJECTIVES	23
VI.	DECISION MAKING	27
VII.	ORGANIZING	31
VIII.	LEADING	37
IX.	CONTROLLING	42
	REVIEW QUESTIONS	46
	GLOSSARY	48
	INDEX.....	50

TO THE READER

This book assumes that you know nothing about management. It begins with ordinary life, adds one idea at a time, and defines each new word in plain English before it is used.

Look at a page. The wide column holds the main text. The narrow column on its left holds *side notes*. A note in italics summarises the paragraph beside it. A note that begins with a word in bold gives the plain meaning of a **key term**. The same word appears in bold in the main text at its first use only, and nowhere else; italics are used for emphasis.

The words **GO SLOWLY HERE** mark an idea that is new and abstract. Read it twice. Small numbers in the text point to footnotes at the foot of the page. An imaginary bakery, set in Bangladesh and priced in taka (Tk), grows through the chapters as a *case file*. It is illustrative, not real.

Each chapter opens with a puzzle, teaches its ideas in layers (the idea, an example, the rule, and where the rule fails), and closes with a summary, a problem to think through, common mistakes, and a true story from history. Review questions are gathered at the back, followed by a glossary and an index.

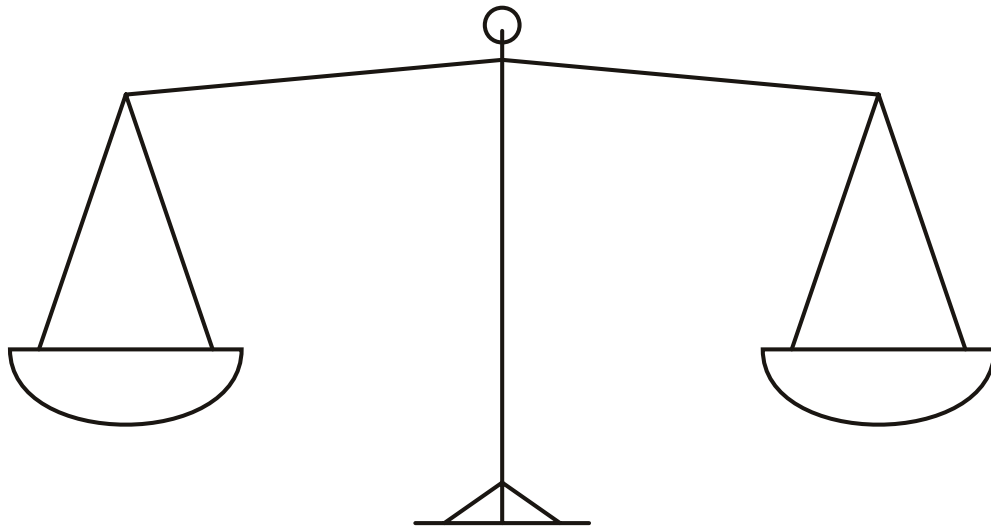


Plate I. [An engraving will be placed here.]

CHAPTER I

What Management Is

Who makes a group of people more than a crowd?



This chapter defines management, shows what managers do and what skills they need, and asks whether management is a science, an art or a profession.

THE PUZZLE OF THE TWO BAKERIES

*Same oven, same flour,
different results.*

Two bakeries stand on one street in Rajshahi. Both bought the same oven and the same flour. After a year, one earns a steady profit and the other is closing. Nothing in the ovens explains the difference. The difference lies in how the people were guided: who decided what to bake, who was told to do what, and who checked the result. That guiding work has a name, and this chapter explains it.

THE MEANING OF MANAGEMENT

Management. Getting work done through other people, to reach goals.

Organization. A group of people working together for a shared goal.

We begin with two words. An **organization** is a group of people who work together to reach a shared goal; a bakery, a school and a bank are all organizations. **Management** means the process of using people and other resources to reach the goals of the organization, by planning, organizing, leading and controlling. Notice that the manager's result comes through the work of others.

A manager's job, then, is not to bake the bread. It is to see that the right bread is baked, at the right time, at a cost the shop can bear.¹

WHY MANAGEMENT MATTERS

*Management turns scarce
resources into useful
results.*

Every organization has more wants than resources. Managers decide how money, people, materials and information are used. Good management reduces waste, keeps people working toward one goal, and helps the organization survive change. It also creates the conditions in which workers find their work worth doing. This is why the subject is studied by every future owner, employee and public official.

NATURE AND PURPOSE

Purpose. The reason an activity exists.

The **nature** of management means its main features. Management is *purposeful*: it aims at goals. It is *universal*: a shop, a hospital and a ministry all need it. It is *continuous*, because work never ends. It is a *group* activity, since managers need others. It works at *every level*, and it depends on *judgement*. Its **purpose** is to reach the organization's goals with the least waste of effort and money.

A second purpose is social. Managers also try to serve customers, give fair work to employees, and respect the community. These purposes sometimes pull apart, and balancing them is part of the manager's task. Chapter III returns to this.

GO SLOWLY HERE.

Function. A main kind of work that every manager performs.

THE FUNCTIONS OF MANAGEMENT

Slowly, now. Management is made of four **functions**, and together they form the **management process**. *Planning* chooses goals and the way to reach them. *Organizing* arranges people and resources to carry out the plan. *Leading* guides and motivates people. *Controlling* compares results with the plan and corrects the difference. In daily life you perform all four when you organise a journey: you choose a destination, pack, guide your family and check the time.

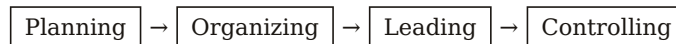


FIG. 1. The management process: each function feeds the next, and controlling leads back to planning.

These functions overlap in practice. A manager may plan in the morning, correct a mistake at noon and encourage a tired worker in the afternoon. Still, the four names help a beginner to sort a confusing day into clear kinds of work. *You should now be able to say*: management is planning, organizing, leading and controlling.

MANAGERS AND THEIR RESOURCES

Top managers. Those who set direction for the whole organization.

Middle managers. Those who carry out top managers' plans through a department.

First-line managers. Those who supervise workers directly.

Resources. Things an organization uses to reach its goals.

Not all managers are alike. **Top managers** set the direction of the whole organization. **Middle managers** turn that direction into plans for a department. **First-line managers** supervise the workers who do the actual work. By area, a *functional* manager is responsible for one activity such as sales, and a *general* manager is responsible for all of them.

Managers use four kinds of **resources**. *Human resources* are the people and their skills. *Financial resources* are the money. *Physical resources* are buildings, machines and materials. *Information resources* are the facts needed for decisions. The skill of a manager lies in combining all four, since a shortage of any one holds back the rest. Each manager is also responsible for results: managerial responsibility means accepting the duty to account for the work of one's group.

¹ Henri Fayol, a French mining engineer, wrote in 1916 that to manage is to forecast, organize, command, coordinate and control. The wording has changed since; the idea has lasted.

Technical skill. Knowing how to do a specific kind of work.

Human skill. Ability to work with and understand people.

Conceptual skill. Ability to see the organization as a whole.

SKILLS OF MANAGERS

The researcher Robert Katz wrote in 1955 that managers need three skills. **Technical skill** is knowing how to do a particular kind of work, such as baking or accounting. **Human skill** is the ability to understand, motivate and work with people. **Conceptual skill** is the ability to see the whole organization and how its parts fit together.

SKILLS NEEDED AT EACH LEVEL

Level	Technical	Human	Conceptual
First-line	High	High	Low
Middle	Medium	High	Medium
Top	Low	High	High

Read each row as a manager's mix of skills. A supervisor needs much technical skill, because he or she shows workers how to do the job. A top manager needs little of it but much conceptual skill. Human skill matters equally at every level, since every manager works through people. The *classic view* treats skills as fixed abilities of a role. The *contemporary view* adds that skills such as communication, flexibility and learning can be developed throughout a career.

PRODUCTIVITY, EFFICIENCY AND EFFECTIVENESS

Productivity. Output produced for each unit of input used.

Efficiency. Doing the thing right, with little waste.

Effectiveness. Doing the right thing, so goals are reached.

These three words are often confused. **Productivity** is output divided by input. If one baker makes 120 loaves in 8 hours, productivity is $120 \div 8 = 15$ loaves per hour. **Efficiency** means using the fewest resources for a given result. **Effectiveness** means reaching the goal that was set. A shop can be efficient and yet ineffective: it may bake perfect loaves that nobody wants to buy.

SCIENCE, ART OR PROFESSION?

Profession. An occupation that requires long training and follows a code of conduct.

Management is *science* in that it has organised knowledge and tested principles. It is *art* in that applying them to a living situation takes personal skill and judgement. Most scholars call it both: a science in its knowledge and an art in its practice. It is only partly a **profession**. It has bodies of knowledge and training, but a person may manage without a licence, and no single code binds every manager.



Case file, illustrative. Golden Crust Bakery opens in Rajshahi in January 2025. Two partners invest Tk 600,000 in an oven, tools and rent. In month one they sell 3,000 loaves at Tk 30 each, a

revenue of Tk 90,000. One partner will plan and buy; the other will bake and serve. This is the first sign of managerial work: dividing the tasks.

Summary

Management is getting results through people by planning, organizing, leading and controlling. It uses human, financial, physical and information resources, needs technical, human and conceptual skills, and aims at efficiency and effectiveness together. It is both science and art, and only partly a profession.

Think it through

Golden Crust bakes 150 loaves in 10 hours with two workers. Next month it bakes 180 loaves in 10 hours with the same workers. Calculate the productivity each month and state whether efficiency or effectiveness is shown by the change.

Where people go wrong

Students often say that a manager is anyone with a senior title. In fact, a person who supervises a team of one is a manager. Others think efficient means effective; the bakery that makes unwanted bread shows the difference.

In history

In 1911 the American engineer Frederick W. Taylor published *The Principles of Scientific Management*. He argued that work could be studied and improved as a subject, instead of being left to habit. This idea gave management its first claim to be a field of study, and the next chapter tells the story.

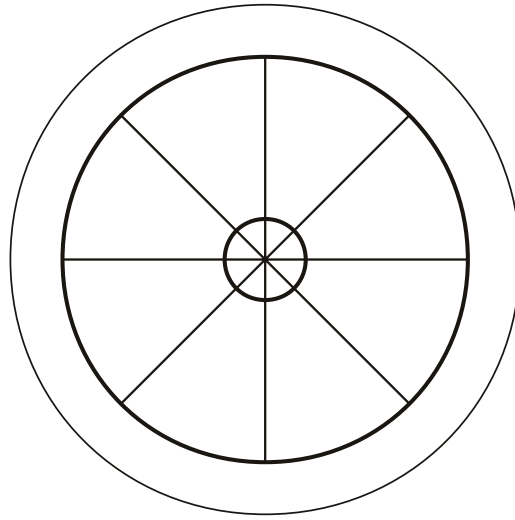


Plate II. [An engraving will be placed here.]

CHAPTER II

The Growth of Management Thought

Is there one best way to run an organization?



This chapter traces how ideas about management developed, from scientific management and Fayol's principles to the human, quantitative and situational approaches.

Many people have asked whether one right method exists.

Industrial Revolution.
The change, from the late 1700s, from hand work at home to machine work in factories.

Scientific management.
Studying work by observation and measurement to find the best way to do it.

*Taylor studied the job;
Fayol studied the whole organization.*

Principle. A general guide to action, to be applied with judgement.

THE PUZZLE OF THE BEST WAY

Imagine ten bakers who each shape a loaf in a different way. One method is faster, and another wastes less dough. Should the shop's owner find the best method and require everyone to use it? Or do people work better when they choose their own way? For more than a century, thinkers have argued about such questions, and each answer produced a school of thought that still shapes how organizations work.

MANAGEMENT BEFORE THE FACTORY

Management has been practised for thousands of years, in building pyramids and running armies. As a subject of study, however, it is young. The **Industrial Revolution**, which began in Britain in the late 1700s, put hundreds of workers and costly machines under one roof. Owners now needed methods to organise people, control costs and keep output steady. The theories below answered that need.

SCIENTIFIC MANAGEMENT

Scientific management means using careful observation and measurement, instead of habit, to find the best way to do a job. Its founder was Frederick W. Taylor (1856-1915), an American engineer who began as a worker and later became a manager in steel works. He published *The Principles of Scientific Management* in 1911.¹

Taylor proposed four principles. First, replace rules of thumb with a science of each task. Second, select workers by fit and train them carefully. Third, cooperate with workers so that the work follows the science. Fourth, divide the work so that managers plan and workers perform. He also urged fair pay linked to output, to reward higher productivity.

ADMINISTRATIVE MANAGEMENT: FAYOL

Taylor looked at the workshop. Henri Fayol (1841-1925), a French mining engineer who became managing director of a coal and iron company, looked at the whole organization from the top. In 1916 he listed five duties of a manager (now four functions, as Chapter I showed) and fourteen **principles of management**, which are general guides for managing, not fixed laws.

Fayol insisted that principles are flexible. The table gives each principle with its plain meaning.

FAYOL'S FOURTEEN PRINCIPLES

Principle	Plain meaning
1. Division of work	Split work into specialised tasks to raise skill and output
2. Authority and responsibility	The right to give orders goes with the duty to answer for results
3. Discipline	Obedience and respect for agreed rules, from managers and workers
4. Unity of command	Each worker has one superior only
5. Unity of direction	One plan and one head for each group of related activities
6. Subordination of individual interest	Group goals come before personal ones
7. Remuneration	Pay is fair to both worker and firm
8. Centralization	The balance between top control and local freedom is set to suit the case
9. Scalar chain	A line of authority runs from top to bottom
10. Order	A place for each person and thing, and each in its place
11. Equity	Kindness joined with justice toward workers
12. Stability of tenure	Workers need time to learn, so turnover is kept low
13. Initiative	Allow people to plan and carry out their ideas
14. Esprit de corps	Team spirit, which comes from harmony and unity

Read a row as a pair: the name, then what it asks of the manager. Take unity of command. If a baker receives conflicting orders from two partners, she cannot satisfy both, and tension follows. The principle prevents this by naming one superior for each worker.

BUREAUCRACY AND THE HUMAN SIDE

Bureaucracy. An organization run by fixed rules, clear ranks and written records.

Human relations. The view that workers' feelings and social needs affect output.

Max Weber (1864-1920), a German sociologist, described the **bureaucracy**: clear division of labour, a hierarchy of authority, written rules, impersonal treatment, and careers based on merit. He saw it as fair and efficient for large tasks. Critics later found that it can become slow and rigid.

From 1924 to 1932 researchers studied workers at the Hawthorne Works of the Western Electric Company near Chicago. Elton Mayo of Harvard joined the work in 1927. They found that attention, group bonds and a sense of being valued changed output as much as pay or lighting did. This was the start of the **human relations** movement, which turned managers' eyes toward people.

QUANTITATIVE, SYSTEMS AND SITUATIONAL VIEWS

Management science. Using mathematical models and computers to solve management problems.

System. A set of connected parts working toward one purpose.

Contingency. Depending on the situation.

During the Second World War, teams of scientists used mathematics to solve problems of supply and defence. After the war, business adopted these methods, called **management science** (or operations research). Do not confuse it with scientific management. Scientific management studies *how a job is done*, by observation of work. Management science builds *mathematical models* to help managers decide, for example, how much stock to hold.

The **systems approach** sees an organization as a **system**: parts such as departments that depend on each other and on the outside world. The **contingency approach** teaches that no single method suits every case; the right action depends on the situation. Modern managers use all the schools together, choosing what the situation demands.

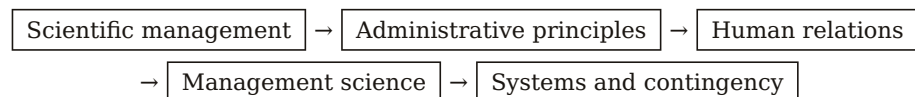


FIG. 2. Approaches to managing, in order of appearance (about 1900 to the present).



Case file, illustrative. Golden Crust's partners time each step of making a loaf and cut the shaping time from 4 minutes to 3 (scientific management). They then give each worker one supervisor (unity of command) and ask workers for ideas on new flavours (initiative).

Summary

Scientific management (Taylor) improved jobs by measurement. Fayol set out fourteen general principles for the whole organization. Weber described bureaucracy, and the Hawthorne studies showed the importance of people. Management science adds mathematics; systems and contingency views teach that the best method depends on the situation.

Think it through

A new worker at Golden Crust is told to bake by the head baker and also to sell by the manager. Which of Fayol's principles is broken, and how would you fix it?

Where people go wrong

Students confuse scientific management with management science; remember that one studies tasks and the other builds models. Others treat Fayol's principles as laws; Fayol himself called them flexible.

¹ Taylor measured tasks with a stopwatch. This is called time study, and it remains in use in factories.

In history

In 1888 Fayol became managing director of a French mining company that was in serious difficulty. He led it for thirty years, and by his retirement in 1918 it was financially sound. He credited the practice of the principles that he later wrote down.

Sources

Taylor, F. W. (1911), *The Principles of Scientific Management*.
Fayol, H. (1916), *Administration industrielle et générale*.
Weber, M., writings on bureaucracy, translated into English in 1947. Fayol's work is the landmark of administrative management.

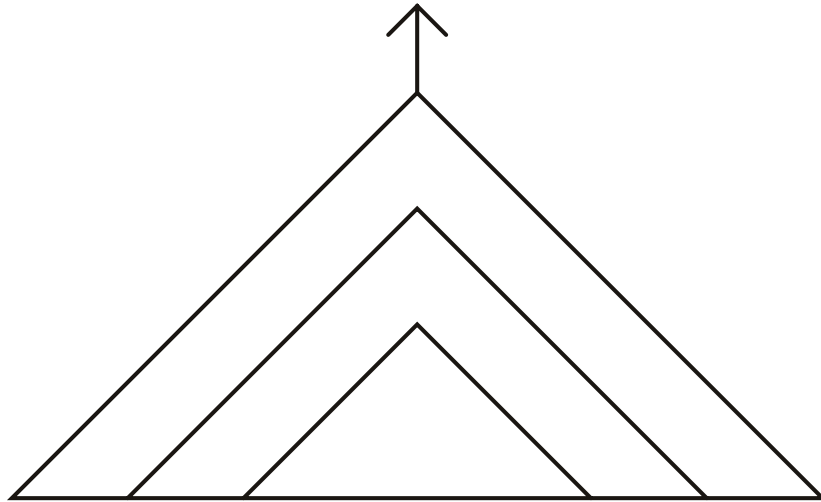


Plate III. [An engraving will be placed here.]

CHAPTER III

The Environment and Social Responsibility

*What happens outside the shop door still
reaches the oven.*



*This chapter shows how forces inside and outside an
organization shape its work, how it can respond, and
what duties it owes to society.*

A flood far away changes a baker's costs.

Environment. Everything inside and outside an organization that affects its work.

Internal environment.

Forces inside: owners, employees, culture.

General environment.

Outside forces that affect all organizations.

Task environment.

Outside groups that deal directly with one organization.

GO SLOWLY HERE.

Boundary spanning.

Work of staff who deal with outsiders for the firm.

THE PUZZLE OF THE FLOODED FIELDS

Heavy floods destroy wheat fields in a distant region. Within weeks, the price of flour rises in Rajshahi, and a bakery that never saw the flood must raise the price of bread. The shop did nothing wrong, and yet it is affected. Managers cannot control every force around them, but they can learn to watch these forces and prepare for them.

INSIDE AND OUTSIDE

The **environment** of an organization is everything that affects its work. The **internal environment** is made of owners, the board, employees and the shared habits and values called *culture*. Managers can change much of it directly. The **external environment** lies outside and is much harder to change.

Experts divide the outside world in two. The **general environment** has five parts: *economic* (prices, income, interest rates), *technological* (new machines and methods), *sociocultural* (tastes, values, population), *political-legal* (laws, taxes, government), and *international* (foreign trade and competition). The **task environment** holds the groups that deal directly with the firm: customers, competitors, suppliers, and regulators.

HOW THE OUTSIDE SHAPES THE INSIDE

Consider the effect of the outside on the inside. A new law on food safety (political-legal) forces the bakery to buy new equipment, which changes its budget and its staff training. A new rival nearby (competitor) forces a change in price, which changes its profit and its plans. A wave of interest in healthy food (sociocultural) changes what it bakes. Each external change travels inside as a change in plans, people or money. *You should now be able to say:* outside forces become inside decisions.

ADAPTING TO CHANGE

Organizations have several ways to respond. They can *forecast* changes and plan for them. They can *adapt*, by keeping structures flexible. They can *influence* the outside, by advertising or by presenting a case to government. They can *buffer*, by holding spare stock against shortages. They can use **boundary spanning**: staff such as buyers and public relations officers who deal with outsiders and bring back news. They can join with others through partnerships or mergers.

A baker who holds three weeks of flour has buffered against price shocks; one who signs yearly contracts with several mills has joined with suppliers. No single response is best. The

choice depends on cost and on how fast the environment moves.

SOCIAL RESPONSIBILITY

Corporate social responsibility. A firm's duty to act for the good of society, beyond profit and the law.

Davis model. Keith Davis's five propositions on business and society.

Business ethics. Standards of right and wrong that guide conduct in business.

Sustainability. Meeting present needs without harming the chances of future generations.

Corporate social responsibility (CSR) means the duty of a business to act in ways that benefit society, beyond making a profit and obeying the law. Supporters say that business uses society's resources and gains from its stability, so it should give something back, and that responsible firms earn trust. Opponents, such as the economist Milton Friedman (1970), argued that managers should serve owners and that social causes belong to government.

The **Davis model**, from the American scholar Keith Davis (1960), states five propositions. Social responsibility comes from *social power*. Business should operate openly and listen to society. Social costs and benefits should be weighed before an activity is begun. Social costs should be added to the price of the product. And business should help solve social problems beyond its normal area when it has the skill. Davis added an *iron law*: those who do not use social power responsibly will lose it.

Business ethics means the standards of right and wrong that guide managers. The law sets a minimum; ethics asks for more. **Sustainability** means meeting present needs without damaging the ability of future generations to meet theirs, a definition from the 1987 report of the Brundtland Commission. In business it asks managers to balance profit, people and the natural environment.

Managers carry social duties to several groups: to *owners* (a fair return), *employees* (safe work, fair pay), *customers* (honest goods), the *community*, the *natural environment*, and *government* (obeying law). Responding to these influences means listening, forecasting, and sometimes changing policy before the law forces a change.



Case file, illustrative. After a rise in flour prices, Golden Crust buys from two mills, uses sealed bins for food safety, and gives its unsold bread to a local shelter each Friday. Each act answers one outside force or one social duty.

Summary

The environment has an internal part and an external part, itself divided into general and task parts. Outside changes become inside decisions. Organizations adapt by forecasting, flexibility, influence, buffering, boundary spanning and alliances. Social responsibility, ethics and sustainability are duties to society; Davis set out the main model.

Think it through

A new tax raises the price of imported flour at Golden Crust by 10 per cent. Name the part of the environment involved, and propose two responses from this chapter.

Where people go wrong

Some think ethics means obeying the law. Law sets the minimum, ethics goes further. Others think CSR is charity; Davis's model shows that it is a duty tied to power, not a gift.

In history

On 24 April 2013 an eight-storey factory building, Rana Plaza, collapsed at Savar near Dhaka, and more than 1,100 garment workers died. Afterwards, many firms and unions signed the Accord on Fire and Building Safety in Bangladesh, and inspections of factories began. The tragedy made the duty of managers toward workers a matter of public concern.

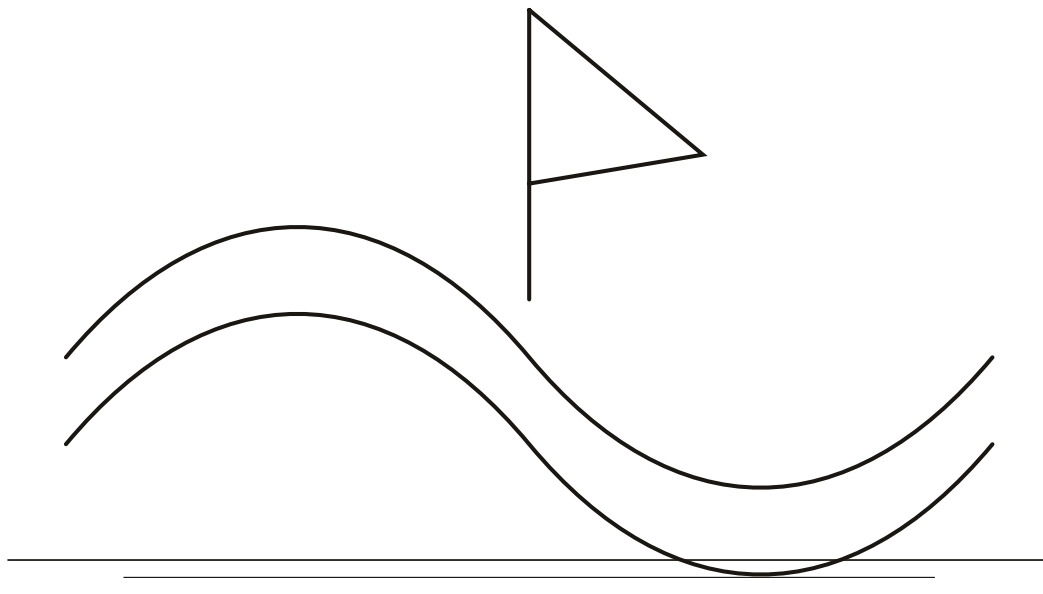


Plate IV. [An engraving will be placed here.]

CHAPTER IV

Planning

*How does a traveller reach a place that has
not yet been chosen?*



*This chapter explains what planning is, why it comes
first among the functions, the kinds of plan, the six
steps of planning, and why plans fail.*

A journey needs an end before a route.

Planning. Choosing goals and deciding in advance how to reach them.

Plan. A written or spoken statement of what will be done, when, and by whom.

Strategic plan. Long-range plan for the whole organization.

Tactical plan. Plan for a part of the organization.

Operational plan. Daily plan for a specific task.

Standing plan. A plan made once for situations that repeat.

Single-use plan. A plan made for one situation that will not repeat.

THE PUZZLE OF THE UNCHOSEN DESTINATION

A traveller leaves Dhaka by bus. Asked where she is going, she answers that she will decide on the road. By evening she is tired, far from any useful place, and unsure whether she has arrived. A journey with no destination cannot succeed or fail. Organizations are the same: until they decide where they are going, nobody can say whether they are on the right road.

MEANING, NATURE AND PURPOSE

Planning means choosing goals and deciding in advance the actions needed to reach them. The result is a **plan**. Planning looks forward: it asks what we want, where we stand now, and what we must do to close the gap.

Planning has several features. It is *primary*, because the other functions depend on it. It is *pervasive*, found at every level. It is *continuous*, since plans are revised. It is *forward-looking*, and it is *a choice among alternatives*. Its purposes are to give direction, to reduce risk by looking ahead, to cut waste, to set standards for control, and to help coordination because everyone works to one plan.

TYPES OF PLANS

Plans can be sorted in two ways. By *level*, a **strategic plan** covers the whole organization for several years and is set by top managers. A **tactical plan** turns it into steps for a department, and an **operational plan** guides daily tasks.

By *use*, a **standing plan** is made once and used again and again; a **single-use plan** is made for one occasion and then discarded. Standing plans include *policies* (general guides to decisions), *procedures* (steps in order) and *rules* (actions allowed or forbidden). Single-use plans include *programs* (a set of linked projects), *projects* (one task with a start and end) and *budgets* (a plan stated in money).

STANDING AND SINGLE-USE PLANS

Kind	Used	Examples
Standing	Many times	Hiring policy, order procedure, no-smoking rule
Single-use	Once	Opening of a new branch, this year's budget

Read a row from left to right: the kind, how often it is used, and an example. A bakery's rule that bread is baked fresh every morning is standing. Its plan to open a second shop in March is single-use.

GO SLOWLY HERE.

Planning premise. An assumption about the future on which a plan is built.

THE SIX STEPS OF PLANNING

Slowly, now. Six steps make a plan. *Step one:* be aware of an opportunity or problem, by studying the present position. *Step two:* set objectives, which are the results wanted. *Step three:* develop **planning premises**, which are assumptions about the future, such as expected prices or demand. *Step four:* find alternative ways to reach the objectives. *Step five:* evaluate them and choose the best. *Step six:* put the plan into action and prepare the supporting plans, such as budgets.

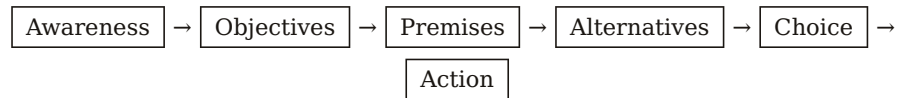


FIG. 3. The six steps of the planning process.

Consider a family planning a wedding. They ask what they can afford (awareness), fix the guest list (objective), assume the date and the season (premise), compare halls (alternatives), pick one (choice) and book it (action). The business plan follows the same order. *You should now be able to say:* a plan starts from a look at the present and ends in action.

WHY PLANS FAIL AND HOW TO IMPROVE THEM

Plans fail for causes inside and outside the plan.

Plans fail for many reasons. The objectives may be unclear. The premises may be wrong. The plan may be too rigid to change, or too costly to make. Employees who were not consulted may not support it. Top managers may lack commitment, or fail to check results. Outside changes may be too sudden to forecast. These are also the *limits of planning*: the future is uncertain, planning takes time and money, and it can make people slow to act.

To make planning effective, state clear objectives; use realistic premises; involve those who will carry out the plan; keep it flexible with a revision date; link each plan to a budget; and compare results against the plan. This last point joins planning to controlling: a plan gives control its standards, and control tells planning what to repair. Without plans there is nothing to control, and without control plans are only hopes.



Case file, illustrative. In January 2025 Golden Crust plans: objective, sell 3,600 loaves a month by June; premise, flour stays at Tk 55 per kilogram; alternatives, advertise or add a second counter; choice, second counter at Tk 40,000; action, build it in February.

Summary

Planning chooses goals and the way to reach them. Plans are strategic, tactical or operational by level, and standing or single-use by repetition. The six steps run from awareness to action. Plans fail from unclear aims, wrong premises, rigidity and lack of support, and improve when people take part and results are checked.

Think it through

Golden Crust assumed flour would cost Tk 55 a kilogram, but it rises to Tk 66. Name the step of planning that was weak, and say what the plan should have included.

Where people go wrong

Students confuse policy with procedure: a policy guides thought, a procedure lists steps. Others think a plan must never change; a good plan has a date for revision.

In history

Before the Normandy landings in June 1944, Allied commanders planned for more than a year and prepared alternative dates and weather forecasts. When storms delayed the landing by one day, the plan allowed it. The story shows planning with premises and flexibility.

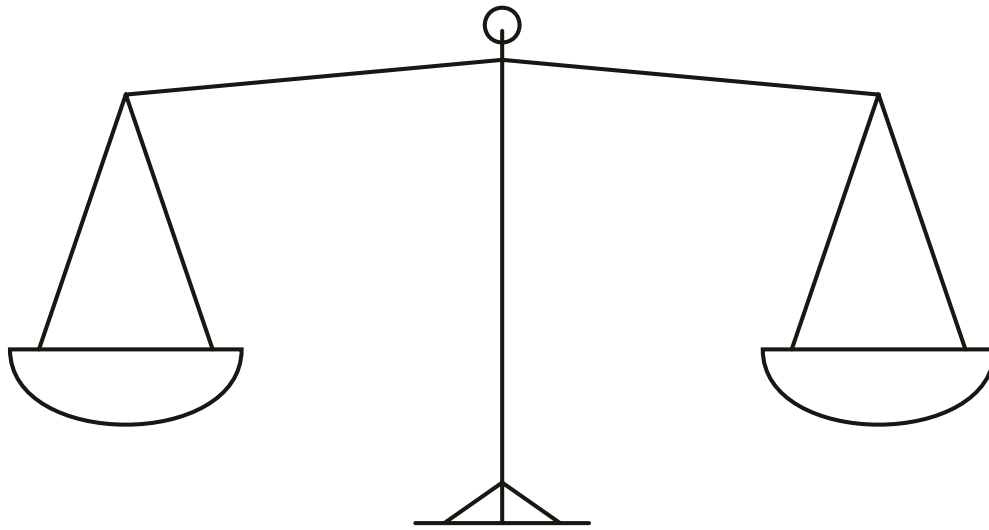


Plate V. [An engraving will be placed here.]

CHAPTER V

Objectives and Management by Objectives

How can a whole shop pull in one direction?



This chapter explains what objectives are, how to set them, the eight areas where they matter, and how management by objectives works, with its strengths and weaknesses.

A boat needs all oars to follow one beat.

Objective. A result that an organization or person wants to reach.

Mission. The basic reason an organization exists.

Good objectives pass five tests.

Key result area. A field in which results decide the survival of the organization.

Management by objectives. A cycle in which managers and employees agree on goals, then review results.

GO SLOWLY HERE.

THE PUZZLE OF THE ROWERS

Eight rowers sit in a boat. Each rows hard, but each rows toward a different bank. The boat spins and goes nowhere. Hard work was not missing; shared direction was. Objectives give a group a single bank to row toward, and management by objectives is a method for making each rower's target fit the boat's.

THE NATURE OF OBJECTIVES

An **objective** is a result that an organization or person wants to reach. It differs from the **mission**, which states why the organization exists; objectives are the steps that carry out the mission. Objectives are *specific and measurable, set for a time, arranged in a hierarchy* (from top goals to daily targets), and *linked*, so that each supports the next level.

SETTING OBJECTIVES

A well-set objective is specific, measurable, achievable, relevant and time-bound; this checklist is credited to George Doran (1981). "Sell more bread" fails the tests. "Sell 3,600 loaves a month by June 2025" passes them. People also work harder when they share in setting the objective and when they know how progress will be measured.

Peter Drucker, in 1954, named eight **key result areas** where objectives should be set: *market standing* (share of customers), *innovation* (new ideas), *productivity* (output per input), *physical and financial resources*, *profitability*, *manager performance and development*, *worker performance and attitude*, and *public responsibility*. An organization that sets objectives in all eight is less likely to succeed in one area by neglecting another.

MANAGEMENT BY OBJECTIVES

Management by objectives (MBO) is a method in which managers and workers set goals together, agree on how they will be measured, and review the results at a fixed time. Drucker described it in *The Practice of Management* (1954). Its core idea is that people work better when they help to choose their targets.

The process is a cycle of steps. *First*, top managers set the organization's objectives. *Second*, these are passed down, so each department sets its own, matched to the top ones. *Third*, each manager and employee agree on personal objectives together. *Fourth*, each person plans the actions needed. *Fifth*, progress is checked at agreed times. *Sixth*, performance is appraised and rewarded, and the findings begin the next cycle.

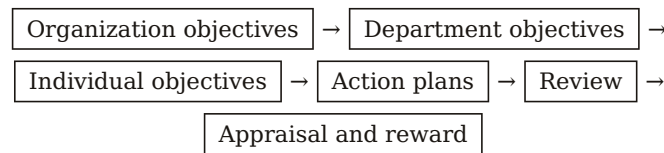


FIG. 4. The MBO cycle: the appraisal feeds the setting of the next objectives.

Read the figure from left to right and then back to the start. Imagine a class: the school sets a pass rate (organization), each teacher sets a target for her class (department), each student agrees to a score (individual), and results are reviewed each term. *You should now be able to say: MBO links every person's target to the organization's goal, and repeats.*

BENEFITS AND WEAKNESSES

MBO has clear strengths and clear limits.

Its *benefits* are better planning, clearer roles, higher motivation because people join in choosing goals, easier control since targets exist, and better communication between levels. Its *weaknesses* are as real. It takes much paperwork and time. It may push people toward goals that are easy to measure and away from those that matter. It can fail if top managers do not support it, if goals are forced downward without discussion, or if the environment changes faster than goals can be revised. Rewards tied only to targets may encourage short-term thinking.



Case file, illustrative. Golden Crust's partners set the shop objective: profit of Tk 30,000 a month by December 2025. The baker's target is to waste under 5 per cent of dough, and the seller's is 3,600 loaves a month. They review both targets on the last day of each month.

Summary

Objectives are specific, measurable and time-bound results. Drucker named eight areas where they matter. MBO turns organization goals into personal ones through joint setting, action plans, review and reward. It improves motivation and control but costs time and can neglect goals that are hard to measure.

Think it through

Rewrite the objective "improve customer service" so that it meets the five tests, and name one key result area it belongs to.

Where people go wrong

Students mix objectives with plans. An objective is the result wanted; a plan is how to get it. Others think MBO means orders from the top; it depends on joint setting.

In history

Peter Drucker studied the management of General Motors and published *Concept of the Corporation* in 1946. In 1954 he described management by objectives in *The Practice of Management*. Many firms adopted the method in the following decades, which made joint goal setting a common practice.

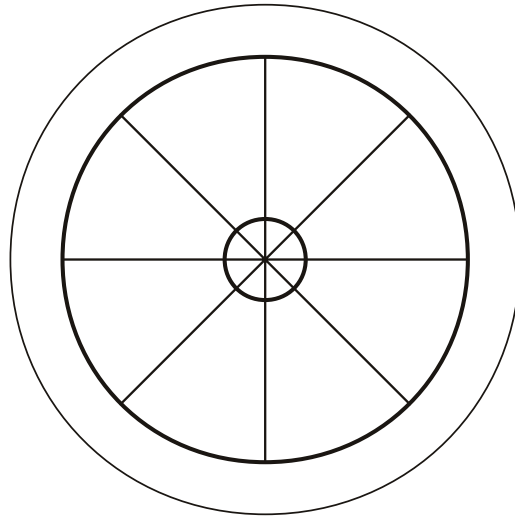


Plate VI. [An engraving will be placed here.]

CHAPTER VI

Decision Making

When the choice is costly and the future is hidden, how should a manager choose?



This chapter sets out the elements of a decision, the steps of the rational process, the conditions of certainty, risk and uncertainty, the tools of probability, and group decisions.

A costly choice with an uncertain result.

Decision. A choice among alternatives.

Decision maker. The person who makes the choice.

Rational decision making. Choosing by steps that weigh facts and alternatives logically.

Certainty. The outcome of each alternative is known.

Risk. Outcomes are uncertain, but their chances are known.

Uncertainty. Chances are unknown.

THE PUZZLE OF THE SECOND OVEN

The partners of Golden Crust can buy a second oven for Tk 300,000. If demand grows, the oven pays for itself. If demand stays flat, it sits idle. Nobody can know the future. Yet a choice must be made, and each choice leads to a different result. How should they decide? This is the central question of the chapter, and many writers say it is the heart of management, because every function ends in a choice.

THE ELEMENTS OF A DECISION

A **decision** is a choice among alternatives. Every decision situation has the same *elements*. There is a **decision maker**, the person who chooses. There are *objectives* that the choice should serve. There are *alternatives*, the possible courses of action. There are *states of nature*, the future events that the decision maker cannot control. There are *outcomes*, the results of each alternative under each state. And there is a *preference*, the value placed on each outcome.

THE DECISION-MAKING PROCESS

The **rational decision-making process** moves in steps. *First*, identify and define the problem. *Second*, collect the facts. *Third*, develop alternatives. *Fourth*, evaluate each alternative against the objectives. *Fifth*, choose the best one. *Sixth*, put it into action. *Seventh*, follow up and check the result, and begin again if the problem remains.

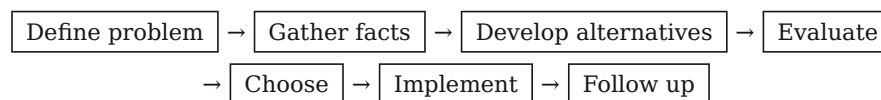


FIG. 5. The rational decision-making process; follow-up may return the manager to the first step.

Managers often ask which process is best. No process guarantees a good result, but the rational one is the best guide because it forces a clear problem, a search for alternatives, and a check after the action. Right decisions do not drive management alone, but wrong ones undo all the other functions.

CONDITIONS OF DECISION MAKING

Managers decide under three **conditions**. Under **certainty**, the outcome of each alternative is known: buying flour at a fixed price. Under **risk**, outcomes are uncertain but their chances can be estimated, as when past sales suggest a 40 per cent chance of high demand. Under **uncertainty**, the chances cannot even be estimated, as with a new product with no past record. Most important decisions are made under risk or uncertainty.

TOOLS: PROBABILITY AND DECISION TREES

GO SLOWLY HERE.

Expected value. The average result if a choice were repeated many times.

Under risk, managers use **probability theory**: each possible outcome receives a chance between 0 and 1, and the chances add to 1. The **expected value** of an alternative is each outcome multiplied by its chance, then summed. A **decision tree** draws the choice as branches: first the alternatives, then the states of nature, then the outcomes. Slowly, here is a first example. A coin pays Tk 100 on heads and Tk 0 on tails. Expected value = $0.5 \times 100 + 0.5 \times 0 = \text{Tk } 50$.

Worked example. Given: the second oven costs Tk 300,000. Net payoff after cost: high demand (chance 0.4) Tk 500,000; medium demand (0.4) Tk 200,000; low demand (0.2) a loss of Tk 100,000. Not buying pays Tk 0. *Find:* the expected value of buying. *Formula:* expected value equals the sum of chance times payoff. *Steps:* $0.4 \times 500,000 = 200,000$; $0.4 \times 200,000 = 80,000$; $0.2 \times (-100,000) = -20,000$. Sum: $200,000 + 80,000 - 20,000 = 260,000$. *Answer:* the expected value of buying is Tk 260,000, against Tk 0 for not buying. *Check:* the result lies between the worst (-100,000) and the best (500,000), and the chances add to 1.

Notice a *common slip*: using a loss as a positive number. Also note the limit: the expected value is an average, and the partners will earn one of the three outcomes, not the average. A careful manager asks whether the firm could survive the worst case.

GROUP DECISIONS AND OTHER FACTORS

Groups bring knowledge, but they take time.

Bounded rationality. People choose with limited information and time.

Decision support system. Computer system that gives managers data for decisions.

A group has *advantages*: more knowledge, more alternatives, wider acceptance of the decision, and better understanding. Its *disadvantages* are slowness, pressure to agree, domination by a few, and divided responsibility. Groups suit complex decisions where support matters; individuals suit urgent or simple ones.

Real decisions face *constraints*: limited time, money and information, and the decision maker's own feelings and habits. Herbert Simon (1947) called this **bounded rationality**; managers often choose an option that is good enough, rather than the best. Managers also meet *programmed decisions*, which repeat and follow rules, and *non-programmed decisions*, which are new and need judgement. A **decision support system** helps with the second kind by letting managers test questions on data.



Case file, illustrative. Golden Crust's partners compute the expected value of the oven (Tk 260,000), judge that they can bear the worst loss of Tk 100,000, and decide in March 2025 to buy.

Summary

A decision is a choice among alternatives, with decision maker, objectives, alternatives, states of nature, outcomes and preferences. The rational process runs from defining the problem to follow-up. Decisions are made under certainty, risk or uncertainty. Expected value and decision trees guide choice under risk; groups add knowledge but cost time.

Think it through

If the chance of high demand falls to 0.2 and medium demand rises to 0.6, with low demand still 0.2, recalculate the expected value of the oven and say whether the decision changes.

Where people go wrong

Students mix risk and uncertainty; under risk the chances are known. Others think the highest expected value is always the right choice, forgetting that the firm must survive the worst case.

In history

Herbert Simon, whose book *Administrative Behavior* appeared in 1947, received the Nobel Memorial Prize in Economic Sciences in 1978 for his research on decision making in organizations. His idea of bounded rationality changed how teachers describe managers' choices.

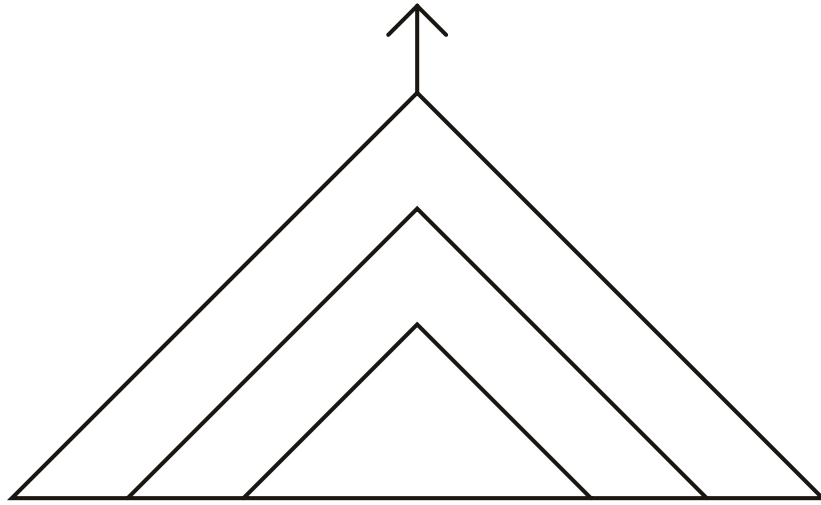


Plate VII. [An engraving will be placed here.]

CHAPTER VII

Organizing

Two partners can share a counter; how do two hundred share a company?



This chapter explains what organizing is, the steps of the process, the forms and structure of organization, span of management, authority and delegation, centralization, coordination, and how an organization is designed.

Growth forces a shop to divide its work.

Organizing. Arranging people, tasks and resources so that plans can be carried out.

Organization structure. The formal pattern of jobs and reporting lines.

Steps. Five steps turn a plan into a structure.

Formal organization. The planned structure with defined jobs and rules.

Informal organization. The unplanned network of personal relations.

THE PUZZLE OF THE GROWING SHOP

Golden Crust began with two partners who did everything. A year later it has ten workers. Who orders flour? Who decides the price? To whom does a new baker report? A shop of two can answer such questions in conversation. A shop of ten cannot, and a company of two hundred certainly cannot. The work of arranging people, tasks and authority so that a plan is carried out is called organizing.

MEANING, NATURE AND PURPOSE

Organizing means arranging people, tasks and resources so that plans can be carried out. Organizing is the main way in which managers activate plans: planning only says what to do, and organizing gives people the means to do it. The resulting pattern of jobs and reporting lines is the **organization structure**. Organizing is continuous, needs people, and depends on the plan and the environment.

Its purposes are to divide work among people, to define authority and duties, to avoid overlapping, to use skills well, and to make coordination possible. A good structure also lets each person know what is expected, and to whom he or she answers.

THE ORGANIZING PROCESS

The process has five steps. *First*, review the plan and the objectives. *Second*, list the work to be done and divide it into tasks. *Third*, group related tasks into jobs and departments. *Fourth*, assign each job to a person and give the authority needed. *Fifth*, join the parts by lines of reporting and coordination, then review the result and adjust it.

FORMAL AND INFORMAL ORGANIZATION

The **formal organization** is the planned structure shown on the organization chart, with defined jobs, rules and reporting lines. The **informal organization** grows by itself from friendship, shared interests and daily contact. It carries gossip but also help and advice, and managers who ignore it lose useful knowledge.

FORMAL AND INFORMAL ORGANIZATION		
Feature	Formal	Informal
Origin	Planned by management	Grows from personal relations
Authority	From position	From personal influence
Purpose	Reach organization goals	Meet social needs
Rules	Written	Unwritten
Shown on chart	Yes	No

FORMS OF ORGANIZATION

Line organization.

Authority flows straight down, one superior for each person.

Functional organization.

Specialists direct work in their field.

Line-and-staff

organization. Line managers decide; staff specialists advise them.

The *line organization* is the simplest: orders go down one chain from owner to worker, as unity of command asks. Its strength is speed and clarity; its weakness is that one head cannot know everything. The *functional organization* groups workers by specialty, and each specialist directs all workers in that field. It uses expert knowledge but may break unity of command.

The *line-and-staff organization* adds specialists who advise but do not command, such as a legal adviser or accountant. It joins unity of command with expert advice, though friction may arise between line and staff. A *committee* is a group given a task, used for hard problems that need many views. A *matrix organization* gives a worker two bosses, one for the function and one for the project; it suits complex projects but needs careful coordination.

DEPARTMENTALIZATION

Departmentalization.

Grouping jobs into departments.

Departmentalization is the grouping of jobs into departments. Common bases are *function* (baking, sales, finance), *product* (bread, cakes), *geography* (Rajshahi branch, Dhaka branch), *customer* (retail, wholesale) and *process* (mixing, baking, packing). Each has a strength. The functional form builds expertise; the geographic form serves local needs. Large organizations often combine several bases.

SPAN OF MANAGEMENT

GO SLOWLY HERE.**Span of management.**

The number of subordinates one manager supervises.

Slowly, now. The **span of management** (also called span of control) is the number of people who report directly to one manager. If a head baker supervises 5 workers, her span is 5. A *narrow* span means close supervision but many levels; a *wide* span means freedom but less supervision. More workers need more levels, so the span and the number of levels are linked: with a narrow span, the organization grows *tall*; with a wide span, it stays *flat*.

Factors that decide the best span: the *skill and training* of workers (high skill allows a wide span); the *similarity* of tasks; the *clarity* of plans; the *need for personal contact*; the *quality of communication*; the *distance* between workers; and the manager's own ability and time. Span is therefore an important concept, for it sets the shape and cost of the structure. *You should now be able to say:* the more people a manager supervises, the fewer levels the organization needs.

AUTHORITY, RESPONSIBILITY AND DELEGATION

Authority. The right to give orders and make decisions.

Responsibility. The duty to do an assigned task.

Accountability. The duty to answer for results.

Line authority. Right to command in the chain.

Staff authority. Right to advise.

Functional authority. Limited right to direct others in one specialty.

Delegation. Giving part of one's authority and tasks to a subordinate.

Authority is the right to give orders and to make decisions. **Responsibility** is the duty to perform a task. **Accountability** is the duty to answer to a superior for the result. The three move together: responsibility without matching authority leaves the person unable to act, and authority without accountability invites abuse. This is the relationship between responsibility and authority.

Kinds of authority. **Line authority** is the right to command subordinates in the chain; **staff authority** is the right to advise; **functional authority** is a limited right of a specialist to direct people outside his own department in his own field, as a finance officer may require every department to follow the same accounting rules. It is delegated by the line manager, in writing and for a defined area. Authority differs from *power*: authority is a right that comes from position, and power is the ability to influence, which may come from skill or personality.

Delegation means giving a subordinate part of your tasks, with the authority to do them, and holding him accountable. It has three steps: assign the duty, grant the authority, and create the obligation to report. Delegation is the means by which authority is *distributed* through the organization, from the top to the lower levels. Obstacles come from the manager (fear of losing control, belief that "I can do it better," lack of trust), from the subordinate (fear of mistakes, lack of confidence) and from the organization (unclear duties, no culture of trust).

CENTRALIZATION AND DECENTRALIZATION

Centralization. Keeping decision power at the top.

Decentralization. Spreading decision power to lower levels.

In a **centralized** organization, important decisions are made at the top; in a **decentralized** one, they are made at lower levels. Centralization gives *uniform policy, close control and lower duplication*, but is slow and uses little local knowledge. Decentralization gives *speed, local knowledge, motivation and training of managers*, but risks inconsistency and higher cost. Most firms balance the two. Decentralization is related to departmentalization: when a firm splits into product or geographic departments, it must decide how much power each department receives.

COORDINATION

Coordination. Joining the work of different people and parts toward one goal.

Coordination is the joining of separate activities toward one goal. Division of labour raises the need for it: the more the work is divided, the more the parts must be fitted together. Its basic activities are *setting common objectives, clear communication, scheduling, and sharing information*.

Structural techniques build coordination into the design. They are the *hierarchy* (the chain of command), *rules and procedures*, *plans and schedules*, *liaison persons*, *task forces and committees*, *integrating managers* (such as a project head), and *shared information systems*. Used together, they let ten departments work as one company.

ORGANIZATIONAL DESIGN

Bureaucratic model.

Design by fixed rules, ranks and procedures.

Behavioral model. Design that stresses people, teams and flexibility.

The **bureaucratic model** designs the organization by rules, ranks and clear duties; it brings fairness and stability, but may be slow. The **behavioral model** stresses people, flat structures and teamwork; it brings motivation and speed, but may lack clear lines and is hard to run at large scale. Compare them: the first suits stable work such as a tax office; the second suits changing work such as a design studio.

What decides the design? The basic *situational factors* are the *environment* (stable or changing), the *technology* (routine or complex), the *size* of the firm, the *strategy*, and the *people* who work in it. These same forces, with the owner's wishes and the law, influence the formal structure.



Case file, illustrative. By 2026, Golden Crust has ten workers and two shops. The partners group workers by function (baking, sales), keep a span of five, and delegate daily purchasing to the head baker, who must report weekly to the partners.

Summary

Organizing arranges people and tasks so plans can be carried out. Its steps run from listing work to joining the parts. Forms include line, functional, line-and-staff, committee and matrix. Span of management shapes the number of levels. Authority, responsibility and accountability go together; delegation spreads authority; coordination holds the parts together; design depends on the situation.

Think it through

A manager supervises 8 workers and finds that mistakes are rising. Should he widen or narrow his span? Name two factors from the chapter that would help you decide.

Where people go wrong

Students treat authority and power as the same thing. They differ: authority is a right of position, power is influence. Others believe a manager may delegate accountability; he may delegate the task, but he remains accountable.

In history

In 1920 Alfred P. Sloan, later the president of General Motors, proposed an organization plan giving the car divisions control of daily operations while the centre kept control of policy and finance. This balance of decentralization with coordination helped General Motors to grow into a leading car maker.

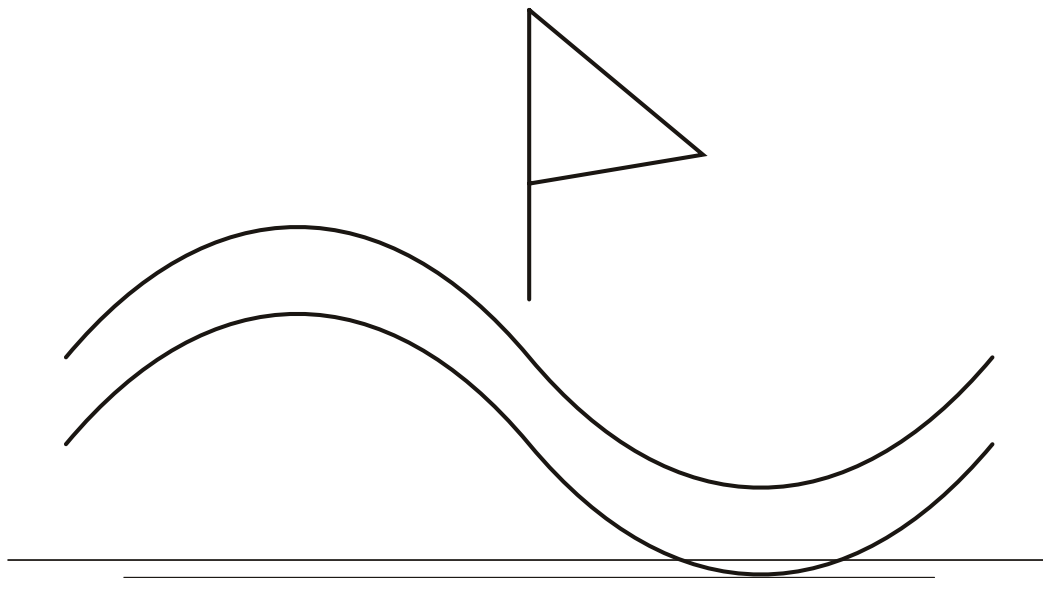


Plate VIII. [An engraving will be placed here.]

CHAPTER VIII

Leading

*Why does one worker give her best and
another give only her time?*



*This chapter examines the human side of
management: motivation and its theories, groups,
creativity, and the nature, power, styles and models
of leadership.*

*Equal pay and equal skill,
but unequal effort.*

Human factors. The needs, attitudes and relationships of people at work.

Theory X. The view that people dislike work and must be controlled.

Theory Y. The view that people enjoy work and can direct themselves.

Motivation. The inner force that makes a person act toward a goal.

GO SLOWLY HERE.

Need. Something a person feels the lack of.

THE PUZZLE OF THE TWO COUNTERS

Two sellers work at the same bakery for the same pay. One arrives early, remembers the customers' names, and suggests new products. The other watches the clock. The manager cannot explain the difference by skill or pay. The difference lies in what moves each person to act, and in how well the manager guides them. This guiding of people is the function of leading.

THE HUMAN FACTORS IN MANAGEMENT

Human factors are the needs, attitudes, abilities and relationships of people at work. Workers differ in what they want, how they see events and how they act in groups. A manager who studies these differences can match tasks to people and can predict how they will respond to change. The ideas below build on this study.

In 1960 Douglas McGregor described two sets of assumptions managers hold. **Theory X** assumes that people dislike work, avoid responsibility, and must be directed and threatened. **Theory Y** assumes that work is natural, that people can direct themselves toward goals they accept, and that many seek responsibility. A manager with Theory X assumptions supervises closely; one with Theory Y assumptions gives freedom. McGregor argued that Theory Y suits most modern workers, but each manager must judge the situation.

MOTIVATION

Motivation is the inner force that makes a person act to reach a goal. Managers must understand it for three reasons: a motivated worker produces more, stays longer, and needs less supervision. Motivation theory rests on three assumptions: behaviour has a cause; behaviour is directed at a goal; and people act to meet needs.

Slowly, now. The *needs-goal model* connects these assumptions. A **need** is something a person feels the lack of, such as hunger. The need creates tension, called a *drive*. The drive leads to *goal-directed behaviour*: the person looks for food. If the goal is reached, the need is met and tension falls. The result is *satisfaction*, which is *fed back* to the person, who adjusts future behaviour. If the goal is not reached, new behaviour is tried.

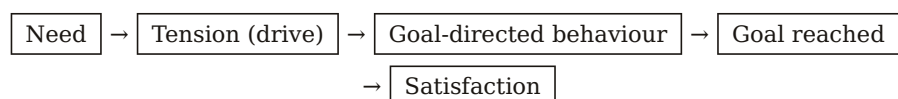


FIG. 6. The needs-goal model of motivation; feedback from satisfaction returns to the person's needs.

A worker needs more income. The tension leads her to work overtime. She earns the money and feels satisfied, and the lesson of that overtime guides her next choice. *You should now be*

Hierarchy of needs.

Maslow's ordered list of five human needs.

able to say: motivation begins with a need and ends in satisfaction.

Abraham Maslow set out his **need hierarchy** in 1943. He proposed five needs, from lowest to highest: *physiological* (food, rest), *safety* (secure job, health), *social* (belonging, friendship), *esteem* (respect, status) and *self-actualization* (using one's full ability). A lower need must be mostly met before the next one grows strong, and a met need no longer motivates. A manager should therefore ask which need each worker feels now.

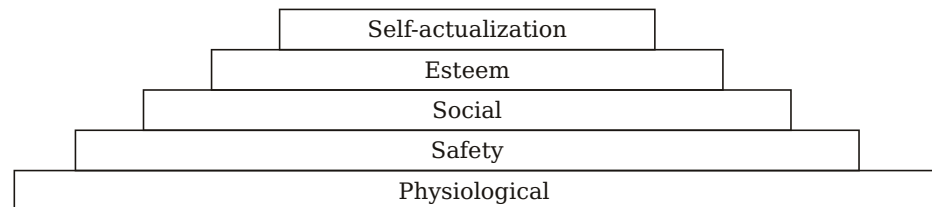


FIG. 7. Maslow's hierarchy of needs; the highest need sits at the top.

Read the figure from the base up. A worker without a steady wage (safety) will not respond to praise (esteem). Critics note that the order is not fixed for every person or culture. Still, the theory gives managers a practical question to ask.

GROUPS, CREATIVITY AND INNOVATION

Informal group. A group formed from personal ties, not by management.

People join **informal groups** and teams for many reasons: to meet social needs, to feel safe in numbers, to gain status, to share knowledge and help one another, and to reach goals they cannot reach alone. Such groups can raise morale or resist change, so a manager works with them rather than against them.

Creativity. Producing new and useful ideas.

Innovation. Putting a new idea into use.

Creativity is the making of new and useful ideas, and **innovation** is the use of such an idea in a product or method. A creative idea is only an idea until the firm acts on it. Managers encourage both by allowing time for ideas, accepting honest failure, and rewarding good suggestions.

LEADERSHIP

Leadership. Influencing people to work willingly toward a goal.

Leadership is the process of influencing people to work willingly toward group goals. A leader need not hold a post; a respected worker may lead. A *manager* is appointed and handles planning, organizing and controlling; a *leader* gains followers by influence. The two roles overlap: managers are most effective when they also lead, and a leader without management skill cannot keep results steady. In short, management is about handling the work; leadership is about inspiring the people.

Power. The ability to influence others.

John French and Bertram Raven (1959) named five bases of **power**. *Legitimate power* comes from position. *Reward power* comes from the ability to give pay or praise. *Coercive power* comes from the ability to punish. *Expert power* comes from special knowledge. *Referent power* comes from admiration for

Emotional intelligence. Skill in understanding and managing one's own and others' feelings.

Trait approach. Leaders are born with special qualities.

Situational approach. Best leadership depends on the situation.

Autocratic style. The leader decides alone.

Democratic style. The leader shares decisions.

Laissez-faire style. The leader leaves decisions to the group.

Transformational leadership. Inspiring followers to look beyond self-interest to a shared vision.

Super leadership. Leading others to lead themselves.

the leader's person. The first three come from the organization; the last two come from the leader.

Daniel Goleman (1995) described **emotional intelligence** as five skills: *self-awareness, self-regulation, motivation, empathy* and *social skill*. A leader with these skills stays calm under pressure, understands the worries of the team and builds trust. It is necessary because leaders work through the feelings of others, and a leader who cannot manage his own anger loses the willing effort of the group.

APPROACHES AND STYLES OF LEADERSHIP

The **trait approach** holds that leaders have special qualities, such as intelligence, confidence and drive. Research found that no list of traits guarantees success. The **situational approach** holds that the best behaviour depends on the leader, the followers and the task. It is now widely accepted, in line with the contingency view of Chapter II.

Kurt Lewin and colleagues (1939) described three *styles*. The **autocratic** leader decides alone and gives orders; it is quick, but breeds fear. The **democratic** leader shares decisions with the group; it raises commitment but is slower. The **laissez-faire** leader leaves decisions to the group; it suits skilled, self-driven people and fails with others. No style is best; the manager chooses by situation.

Robert Tannenbaum and Warren Schmidt (1958) showed styles as a *continuum*: the manager chooses a point along a line, according to how much freedom is given to the group.

Manager decides and announces	Manager sells decision	Manager presents ideas, invites questions	Manager proposes tentative decision	Manager presents problem, takes suggestions	Manager sets limits, group decides	Group decides within limits
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FIG. 8. The Tannenbaum and Schmidt continuum: boss-centred behaviour on the left, subordinate-centred on the right.

Read the figure from left to right: the manager's authority falls and the group's freedom rises. The right point depends on three forces: the *manager* (values, confidence in workers), the *subordinates* (readiness, desire for freedom) and the *situation* (urgency, type of organization).

Three modern forms are noted. **Transformational leadership** (Burns, 1978) inspires people to rise above self-interest and work toward a vision. *Coaching* develops people by guidance, feedback and encouragement. **Super leadership** (Manz and Sims, 1989) leads others to lead themselves, by teaching self-direction.



Case file, illustrative. Golden Crust's partners notice that the seller who watches the clock lacks recognition. They add a

monthly award (esteem need), ask for her ideas (Theory Y) and let her lead the Saturday counter (delegation and leadership).

Summary

Leading guides people. McGregor's Theories X and Y describe managers' assumptions. Motivation begins with a need and follows the needs-goal model; Maslow ranks needs in five levels. Leaders use five bases of power, need emotional intelligence, and choose from styles that range from autocratic to democratic, guided by the situation.

Think it through

A worker who has a steady job and good friends keeps working slowly. Using Maslow, which need might now matter most, and which two actions could the manager take?

Where people go wrong

Students think a leader and a manager are the same person. They differ in how authority is gained. Others read Theory X and Theory Y as two kinds of worker; they are two sets of assumptions held by managers.

In history

From 1800, Robert Owen managed the cotton mills at New Lanark in Scotland. He improved housing for workers, opened a school for their children, and raised the age at which children could work. The mills remained profitable, which showed that care for workers and sound business could go together.

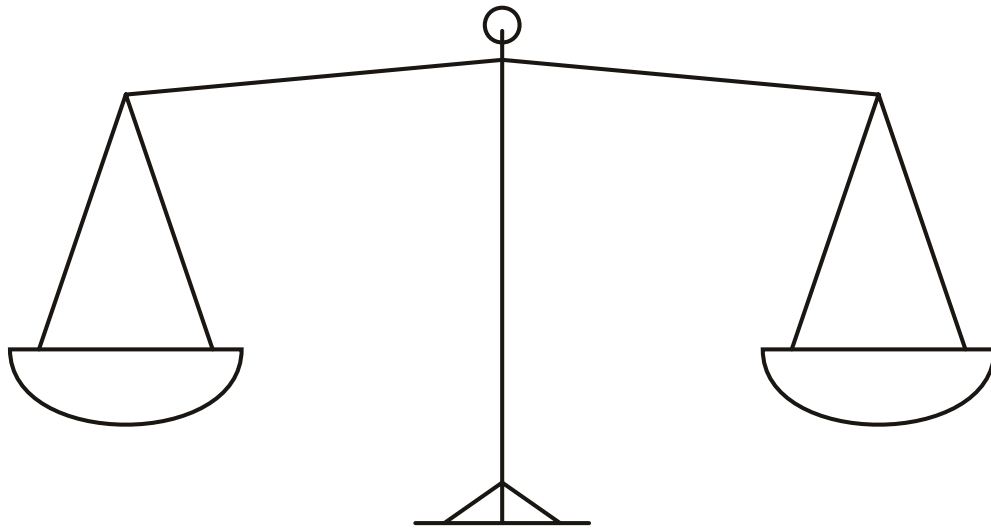


Plate IX. [An engraving will be placed here.]

CHAPTER IX

Controlling

How does a manager know that the plan is still working?



This chapter explains what controlling is, how the control process runs, the types of control, what makes control effective, and what stands in its way.

THE PUZZLE OF THE LIGHTER LOAF

A small drift grows unseen.

A customer complains that her loaf of bread feels lighter than last week's. The baker had not changed the recipe, but a worn scale had slowly drifted. By the time anybody noticed, hundreds of loaves had gone out under weight. A check made each morning would have caught the error on the first day. Controlling is the function that makes such checks regular and useful.

MEANING AND NATURE

Controlling. Comparing actual results with the plan and correcting the difference.

Monitoring. Watching progress to see what is happening.

Controller. A staff manager who designs and runs the control system.

Controlling means comparing actual results with planned results and taking action to correct any difference. **Monitoring** is the watching of progress; it provides the facts, whereas controlling adds the decision to act. Control is *continuous, forward-looking, linked to planning, a duty of every manager*, and aimed at *action*, not blame. Its basic principle is that control should match the plan: a measure has meaning only against an objective.

The relationship between controlling and the **controller** is this: the controller is an officer, often in finance, who builds and runs the system and reports results, but the duty to control remains with every line manager. The controller supplies the instruments; the managers use them.

THE CONTROL PROCESS

GO SLOWLY HERE.

Standard. A target or measure against which results are judged.

Slowly, now. The control process has three steps. *First*, set **standards**: a standard is a target, such as "each loaf weighs 400 grams." *Second*, measure actual performance: weigh a sample of loaves. *Third*, compare, and correct: if the difference is large, find the cause and act. The cycle then repeats.

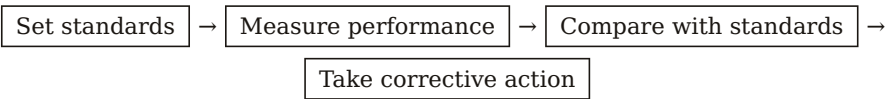


FIG. 9. The control process; corrective action sometimes changes the standard or the plan itself.

Deciding *what* to measure matters: measure what shows success (loaf weight, sales, waste), not only what is easy to count. Deciding *how* to measure matters too: by sample, by report or by observation, with enough accuracy and at a reasonable cost. A wrong measure leads people to chase the wrong result. *You should now be able to say*: control compares results with standards, then acts.

Worked example. Given: standard loaf weight 400 g; ten sampled loaves weigh 4,000 g in total. Find: the average weight and the variance. Formula: average equals total weight divided by number of loaves; variance equals actual minus standard. Steps: $4,000 \div 10 = 400$ g, so the variance is $400 - 400 = 0$. If the total were 3,800 g, the average is $3,800 \div 10 =$

380 g, and the variance is $380 - 400 = -20$ g. *Answer:* the second batch is 20 g (5 per cent) under standard. *Check:* $20 \div 400 = 0.05$, which is 5 per cent. A common slip is to ignore the sign of the variance.

TYPES OF CONTROL

- Feedforward control.** Action before work starts, to prevent problems.
- Concurrent control.** Action during the work.
- Feedback control.** Action after the work, from results.

There are three basic types. **Feedforward** (or preliminary) control acts *before* work begins, such as inspecting flour before it is used. **Concurrent** control acts *during* the work, such as a baker checking dough as it is mixed. **Feedback** control acts *after* the work, from the result, such as a monthly profit report. Feedforward prevents errors; concurrent corrects them at once; feedback teaches for the future but cannot undo the past.

THREE TYPES OF CONTROL		
Type	When	Example
Feedforward	Before	Test flour quality
Concurrent	During	Supervise baking
Feedback	After	Monthly sales report

Common *methods* include budgets, reports, audits, inspection, and direct observation. Each is a means of one of the three types, as a budget can warn before spending (feedforward) and compare after it (feedback).

EFFECTIVE CONTROL AND ITS BARRIERS

Control must suit the task and the people.

Effective control is *accurate, timely, economical* (it must cost less than the loss it prevents), *flexible, simple to understand, focused on critical points* and *accepted* by those controlled. A control that arrives late or that nobody understands has no value.

Barriers to successful controlling include *resistance* from workers who feel watched, *overcontrol* that kills initiative, *wrong standards, difficulty in measuring* some work such as creativity, *delay* in reporting, a *short-term view* that ignores long-term results, and *cost*. A manager overcomes them by involving people in setting standards, explaining the purpose, and controlling only the critical points.

A control process succeeds when its standards come from clear objectives, measures are accurate and prompt, those affected understand and accept it, and managers act on the results. Control also makes a manager more efficient: it exposes waste early, saves time through exceptions (acting only on large deviations), and frees attention for planning. As Chapter IV showed, planning and controlling are twins: planning sets the standard, and controlling tells planning where to repair. Power and control are also related, for the right to control is a form of power, and those who control resources gain influence.



Case file, illustrative. Golden Crust weighs ten loaves each morning against a 400 g standard. In June 2025 the average is 380 g. The head baker recalibrates the scale, and the next day the average returns to 400 g. This is concurrent control; the monthly profit report is feedback control.

Summary

Controlling compares results with standards and corrects the difference. Its three steps are to set standards, measure performance and act. Control may be feedforward, concurrent or feedback. It works when it is accurate, timely, economical, understood and accepted, and it is hindered by resistance, over-control and poor measures. Planning and controlling are linked.

Think it through

Golden Crust's ten sampled loaves weigh 3,900 g in total against a 400 g standard. Calculate the average weight and the variance, and say which type of control the weighing is.

Where people go wrong

Students think controlling means punishing. Its aim is correction. Others confuse monitoring with controlling; monitoring only gathers facts, and controlling includes action.

In history

In 1924, Walter Shewhart of Bell Telephone Laboratories drew the first control chart, a graph that shows when variation in a process is too large to be chance. The chart became a basic tool of quality control in factories across the world.

REVIEW QUESTIONS

Think each question through in your own words. If you cannot answer one, return to the chapter named beside it.

CHAPTER I: WHAT MANAGEMENT IS

1. Define management and name its four functions.
2. What is the difference between top, middle and first-line managers?
3. Describe the three skills of Katz and say which matters most at each level.
4. Distinguish between productivity, efficiency and effectiveness, with an example.
5. Is management a science, an art or a profession? Explain.
6. Why is management important to an organization?

CHAPTER II: THE GROWTH OF MANAGEMENT THOUGHT

1. Define scientific management and state Taylor's four principles.
2. Explain Fayol's fourteen principles of management.
3. Describe the evolution of management thought in your own words.
4. Differentiate between management science and scientific management.
5. What did the Hawthorne studies show?
6. List the different approaches to managing.

CHAPTER III: THE ENVIRONMENT AND SOCIAL RESPONSIBILITY

1. How does the external environment influence the internal environment of an organization?
2. How can an organization adapt to changes in the external environment?
3. What effect do social, political and legal forces have on an enterprise?
4. Define corporate social responsibility and explain the Davis model.
5. Define business ethics and sustainability.
6. What are the major social responsibilities of managers?

CHAPTER IV: PLANNING

1. What is planning, and what is its nature?
2. What are the purposes of planning?
3. Describe the six steps in the planning process.
4. What is a planning premise?
5. Distinguish between standing plans and single-use plans.
6. Why do plans fail, and how can planning be made effective?
7. Discuss the limits of planning.

CHAPTER V: OBJECTIVES AND MANAGEMENT BY OBJECTIVES

1. What is meant by an organizational objective?
2. Discuss the nature of objectives.
3. Describe the eight key areas in which objectives should be set.
4. What is management by objectives, and how would you describe it?
5. Discuss the MBO process with the help of a diagram.
6. Mention the benefits and the weaknesses of MBO.

CHAPTER VI: DECISION MAKING

1. What do you understand by decision making?
2. Elaborate the steps in the decision-making process, and show the model.
3. Mention the elements in a decision situation and describe them briefly.
4. What are the conditions of decision making?
5. Discuss probability theory and decision trees as decision-making tools.

6. Discuss the advantages and disadvantages of group decisions.
7. What is the best decision-making process?

CHAPTER VII: ORGANIZING

1. Define organizing, and explain why organizing is the primary mechanism by which managers activate plans.
2. List and describe the steps in the organizing process.
3. Distinguish between formal and informal organization.
4. Describe various forms of management organization.
5. What is span of management, and what factors decide it?
6. Is there a relationship between organizational levels and span of management?
7. Distinguish line, staff and functional authority.
8. Discuss the relationship between responsibility, authority and delegation, and the obstacles to delegation.
9. Discuss the advantages and disadvantages of centralization and decentralization.
10. Illustrate the basic coordinating activities and structural coordination techniques.
11. Compare the bureaucratic and behavioral models, and state the situational factors affecting design.

CHAPTER VIII: LEADING

1. Define motivation and explain why managers must understand it.
2. Draw and explain a model that illustrates the needs-goal theory of motivation.
3. Describe Maslow's need hierarchy theory.
4. What are the assumptions of Theory X and Theory Y?
5. How would you describe the human factors that affect management?
6. What is leadership, and how does it differ from management?
7. Illustrate the different types of leadership power.
8. What is emotional intelligence, and why does a leader need it?
9. Why do people join informal groups and teams?
10. Distinguish the trait approach from the situational approach.
11. Explain different styles of leadership; draw and explain the Tannenbaum and Schmidt model.
12. Describe transformational leadership, coaching and super leadership.

CHAPTER IX: CONTROLLING

1. What are meant by controlling and monitoring, and what is the nature of control?
2. What is the relationship between controlling and the controller?
3. What are the main steps of the controlling process?
4. Explain the significance of how and what to measure, and say what a standard is.
5. List and define the three basic types of control.
6. What are the requirements of effective controls, and how may the process succeed?
7. Describe several potential barriers to successful controlling.
8. Discuss the relationship between planning and controlling, and between power and control.
9. How can controlling help a manager to become more efficient?

GLOSSARY

Accountability. The duty to answer for results. (*Ch. VII*)

Authority. The right to give orders and make decisions. (*Ch. VII*)

Autocratic style. The leader decides alone. (*Ch. VIII*)

Behavioral model. Design that stresses people, teams and flexibility. (*Ch. VII*)

Boundary spanning. Work of staff who deal with outsiders for the firm. (*Ch. III*)

Bounded rationality. People choose with limited information and time. (*Ch. VI*)

Bureaucracy. An organization run by fixed rules, clear ranks and written records. (*Ch. II*)

Bureaucratic model. Design by fixed rules, ranks and procedures. (*Ch. VII*)

Business ethics. Standards of right and wrong that guide conduct in business. (*Ch. III*)

Centralization. Keeping decision power at the top. (*Ch. VII*)

Certainty. The outcome of each alternative is known. (*Ch. VI*)

Conceptual skill. Ability to see the organization as a whole. (*Ch. I*)

Concurrent control. Action during the work. (*Ch. IX*)

Contingency. Depending on the situation. (*Ch. II*)

Controller. A staff manager who designs and runs the control system. (*Ch. IX*)

Controlling. Comparing actual results with the plan and correcting the difference. (*Ch. IX*)

Coordination. Joining the work of different people and parts toward one goal. (*Ch. VII*)

Corporate social responsibility. A firm's duty to act for the good of society, beyond profit and the law. (*Ch. III*)

Creativity. Producing new and useful ideas. (*Ch. VIII*)

Davis model. Keith Davis's five propositions on business and society. (*Ch. III*)

Decentralization. Spreading decision power to lower levels. (*Ch. VII*)

Decision. A choice among alternatives. (*Ch. VI*)

Decision maker. The person who makes the choice. (*Ch. VI*)

Decision support system. Computer system that gives managers data for decisions. (*Ch. VI*)

Delegation. Giving part of one's authority and tasks to a subordinate. (*Ch. VII*)

Democratic style. The leader shares decisions. (*Ch. VIII*)

Departmentalization. Grouping jobs into departments. (*Ch. VII*)

Effectiveness. Doing the right thing, so goals are reached. (*Ch. I*)

Efficiency. Doing the thing right, with little waste. (*Ch. I*)

Emotional intelligence. Skill in understanding and managing one's own and others' feelings. (*Ch. VIII*)

Environment. Everything inside and outside an organization that affects its work. (*Ch. III*)

Expected value. The average result if a choice were repeated many times. (*Ch. VI*)

Feedback control. Action after the work, from results. (*Ch. IX*)

Feedforward control. Action before work starts, to prevent problems. (*Ch. IX*)

First-line managers. Those who supervise workers directly. (*Ch. I*)

Formal organization. The planned structure with defined jobs and rules. (*Ch. VII*)

Function. A main kind of work that every manager performs. (*Ch. I*)

Functional authority. Limited right to direct others in one specialty. (*Ch. VII*)

Functional organization. Specialists direct work in their field. (*Ch. VII*)

General environment. Outside forces that affect all organizations. (*Ch. III*)

Hierarchy of needs. Maslow's ordered list of five human needs. (*Ch. VIII*)

Human factors. The needs, attitudes and relationships of people at work. (*Ch. VIII*)

Human relations. The view that workers' feelings and social needs affect output. (*Ch. II*)

Human skill. Ability to work with and understand people. (*Ch. I*)

Industrial Revolution. The change, from the late 1700s, from hand work at home to machine work in factories. (*Ch. II*)

Informal group. A group formed from personal ties, not by management. (*Ch. VIII*)

Informal organization. The unplanned network of personal relations. (*Ch. VII*)

Innovation. Putting a new idea into use. (*Ch. VIII*)

Internal environment. Forces inside: owners, employees, culture. (*Ch. III*)

Key result area. A field in which results decide the survival of the organization. (*Ch. V*)

Laissez-faire style. The leader leaves decisions to the group. (*Ch. VIII*)

Leadership. Influencing people to work willingly toward a goal. (*Ch. VIII*)

Line authority. Right to command in the chain. (*Ch. VII*)

Line organization. Authority flows straight down, one superior for each person. (*Ch. VII*)

Line-and-staff organization. Line managers decide; staff specialists advise them. (*Ch. VII*)

Management. Getting work done through other people, to reach goals. (*Ch. I*)

Management by objectives. A cycle in which managers and employees agree on goals, then review results. (*Ch. V*)

Management science. Using mathematical models and computers to solve management problems. (*Ch. II*)

Middle managers. Those who carry out top managers' plans through a department. (*Ch. I*)

Mission. The basic reason an organization exists. (*Ch. V*)

Monitoring. Watching progress to see what is happening. (*Ch. IX*)

Motivation. The inner force that makes a person act toward a goal. (*Ch. VIII*)

Need. Something a person feels the lack of. (*Ch. VIII*)

Objective. A result that an organization or person wants to reach. (*Ch. V*)

Operational plan. Daily plan for a specific task. (*Ch. IV*)

Organization. A group of people working together for a shared goal. (*Ch. I*)

Organization structure. The formal pattern of jobs and reporting lines. (*Ch. VII*)

Organizing. Arranging people, tasks and resources so that plans can be carried out. (*Ch. VII*)

Plan. A written or spoken statement of what will be done, when, and by whom. (*Ch. IV*)

Planning. Choosing goals and deciding in advance how to reach them. (*Ch. IV*)

Planning premise. An assumption about the future on which a plan is built. (*Ch. IV*)

Power. The ability to influence others. (*Ch. VIII*)

Principle. A general guide to action, to be applied with judgement. (*Ch. II*)

Productivity. Output produced for each unit of input used. (*Ch. I*)

Profession. An occupation that requires long training and follows a code of conduct. (*Ch. I*)

Purpose. The reason an activity exists. (*Ch. I*)

Rational decision making. Choosing by steps that weigh facts and alternatives logically. (*Ch. VI*)

Resources. Things an organization uses to reach its goals. (*Ch. I*)

Responsibility. The duty to do an assigned task. (*Ch. VII*)

Risk. Outcomes are uncertain, but their chances are known. (*Ch. VI*)

Scientific management. Studying work by observation and measurement to find the best way to do it. (*Ch. II*)

Single-use plan. A plan made for one situation that will not repeat. (*Ch. IV*)

Situational approach. Best leadership depends on the situation. (*Ch. VIII*)

Span of management. The number of subordinates one manager supervises. (*Ch. VII*)

Staff authority. Right to advise. (*Ch. VII*)

Standard. A target or measure against which results are judged. (*Ch. IX*)

Standing plan. A plan made once for situations that repeat. (*Ch. IV*)

Steps. Five steps turn a plan into a structure. (*Ch. VII*)

Strategic plan. Long-range plan for the whole organization. (*Ch. IV*)

Super leadership. Leading others to lead themselves. (*Ch. VIII*)

Sustainability. Meeting present needs without harming the chances of future generations. (*Ch. III*)

System. A set of connected parts working toward one purpose. (*Ch. II*)

Tactical plan. Plan for a part of the organization. (*Ch. IV*)

Task environment. Outside groups that deal directly with one organization. (*Ch. III*)

Technical skill. Knowing how to do a specific kind of work. (*Ch. I*)

Theory X. The view that people dislike work and must be controlled. (*Ch. VIII*)

Theory Y. The view that people enjoy work and can direct themselves. (*Ch. VIII*)

Top managers. Those who set direction for the whole organization. (*Ch. I*)

Trait approach. Leaders are born with special qualities. (*Ch. VIII*)

Transformational leadership. Inspiring followers to look beyond self-interest to a shared vision. (*Ch. VIII*)

Uncertainty. Chances are unknown. (*Ch. VI*)

INDEX

Accountability	34	Leadership	39
Authority	34	Line authority	34
Autocratic style	40	Line organization	33
Behavioral model	35	Line-and-staff organization	33
Boundary spanning	16	Management	6
Bounded rationality	29	Management by objectives	24
Bureaucracy	12	Management science	13
Bureaucratic model	35	Middle managers	7
Business ethics	17	Mission	24
Centralization	34	Monitoring	43
Certainty	28	Motivation	38
Conceptual skill	8	Need	38
Concurrent control	44	Objective	24
Contingency	13	Operational plan	20
Controller	43	Organization	6
Controlling	43	Organization structure	32
Coordination	34	Organizing	32
Corporate social responsibility	17	Plan	20
Creativity	39	Planning	20
Davis model	17	Planning premise	21
Decentralization	34	Power	39
Decision	28	Principle	11
Decision maker	28	Productivity	8
Decision support system	29	Profession	8
Delegation	34	Purpose	6
Democratic style	40	Rational decision making	28
Departmentalization	33	Resources	7
Effectiveness	8	Responsibility	34
Efficiency	8	Risk	28
Emotional intelligence	40	Scientific management	11
Environment	16	Single-use plan	20
Expected value	29	Situational approach	40
Feedback control	44	Span of management	33
Feedforward control	44	Staff authority	34
First-line managers	7	Standard	43
Formal organization	32	Standing plan	20
Function	7	Steps	32
Functional authority	34	Strategic plan	20
Functional organization	33	Super leadership	40
General environment	16	Sustainability	17
Hierarchy of needs	39	System	13
Human factors	38	Tactical plan	20
Human relations	12	Task environment	16
Human skill	8	Technical skill	8
Industrial Revolution	11	Theory X	38
Informal group	39	Theory Y	38
Informal organization	32	Top managers	7
Innovation	39	Trait approach	40
Internal environment	16	Transformational leadership	40
Key result area	24	Uncertainty	28
Laissez-faire style	40		